

Investing@Amazon

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This page is intended to cover questions often asked/answered on the [investing@](#) mailing list and targets US investors specifically.

1 RSU Questions

Q: What should I do if I have a question regarding RSUs?

Try reading the [official RSU FAQs](#) first (note that there are FAQs about tax election and vests and such on the left sidebar).

If you are in Seattle, tax service providers are available on-site to answer your RSU taxation questions: [RSU Taxation Office Hours](#)

Q: If I want to speak with Fidelity or Morgan Stanley 1:1 about my RSUs, investing, or financial planning, how do I do that?

Fidelity - Sign-up for a 1:1 session [here](#).

Morgan Stanley - Sign-up for a 1:1 session [here](#).

Q: Why am I double-taxed on RSU? Why is my tax withholding not shown on 1099-B? Are RSUs included in W-2? Can I just ignore my 1099-B?

Think of RSU process as this:

1. Amazon promises to give you some shares of AMZN stock sometime in future if you happen to still be employed here. IRS doesn't care since it's in future.
2. "vesting" - Amazon actually gives you N shares of AMZN stock. Value of these shares is regular income. This income is included in **W-2**. Cost basis is the value of the shares at this moment. They are no longer called RSUs at this moment, just regular shares.
3. Depending on which tax method you choose:
 - "Sell to cover" (default) - you (automatically) sell some of the shares that were given to you. From tax perspective this is exactly the same as any regular stock sale - you owe taxes on gains (gains=proceeds-basis-fees, and should be close to \$0) which proceeds are reported on a form **1099-B**.
 - "Sell all" - same as "sell to cover" but all shares are sold.

- "Deposit cash" - no stock sale happens, no tax forms involved. You give Amazon some cash to cover the withholding obligations. Amazon then passes that cash to appropriate tax authorities which is reported in **W-2**.

So to answer the questions:

> Why am I double-taxed on RSU?

You are not double taxed on RSUs, as long as you [report it correctly in your taxes](#).

> Why is my tax withholding not shown on 1099-B?

Because 1099-B is about a stock sale and no taxes are withheld for stock sales. Taxes are withheld from RSU vesting, which is in your W-2.

> Are RSUs included in W-2?

Vesting of RSU is. Your choice to automatically sell some stocks is not.

> Can I just ignore my 1099-B?

[Absolutely not](#).

Q: How do I file taxes for RSU transactions?

Talk to a tax professional if you have no idea what you're doing. Find one that has experience with RSU vesting or double check their work after they are done. See some recommendations in <https://quip-amazon.com/aDeTAaiOMRDm>

If you want to do it yourself (or if you suspect that your tax professional does not fully understand what they are doing) - take a look at the official guide by Amazon - <https://inside.hr.amazon.dev/us/en/employment/time-off-compensation-benefits/compensation-global/rsus/annual-tax-reporting.html>

Fidelity also provides a guide - https://workplaceservices.fidelity.com/bin-public/070_NB_SPS_Pages/documents/dcl/shared/StockPlanServices/SPS_TaxGuide_RS_PA.pdf

TLDR is to make sure to get all 1099-B forms from Morgan Stanley or Fidelity and to make sure to input them (especially the correct, non-\$0 cost basis, which would be on a **last page of Fidelity 1099-B**) into whatever software you are using.

For shares sold automatically on the vesting day (sell-all or sell-to-cover) the cost basis will be almost equal to proceeds, you should end up with about \$10 loss per vesting day (so \$20 in a typical 2-vest year). For shares that you manually sell later the cost basis will be based on the share price on vesting day, and you may see a gain or a loss depending on the share price on the sale day. If you see cost basis of \$0 then you are not looking at the right place.

Seriously, double check that you enter the correct cost basis. Then triple check it.

Using TurboTax auto-import? If the cost basis is \$0, you need to mark it as Ordinary income, [and turbo-tax will ask you the actual price vested and the actual price you sold for](#).

Using a tax preparer? Ask them if they put in the correct cost basis into your taxes. Then actually look at the forms (1040-schedule D and Form 8949) and make sure they did.

Q: I received form CP2000 from IRS, asking for more money because of my RSU transactions. HELP!

UOHS. HELP:

Steps to follow:

1. Understand that IRS may be right or wrong. You may or may not actually owe more taxes.
2. Read section above on [*How do I file taxes for RSU transactions?*](#). You probably missed the cost basis.
3. Understand where you made a mistake. If you can't, talk to a tax professional.
4. Correct the mistake, figure out if you actually owe extra tax.
5. Contact IRS with explanation, missing forms, and payment if required. I did this by mail and few months later I received a letter response saying the matter is settled. Others reported success with calling IRS hotline and discussing the situation over the phone.

Q: Should I keep my Amazon shares after RSU vest or sell them?

tl;dr: if given the value of that vest in cash, would you go out and buy Amazon stock? If so, keep it. If not, sell it.

This question comes up a lot in lists and in conversation, so good luck trying to answer it :) This is the general process suggested by the mailing list:

1. Write down your financial goals. List any big-ticket future expenses - retirement, paying for a child's education, etc. - along with estimated due dates and dollar amounts needed.
2. Assess your risk tolerance as it relates to your goals. Vanguard and Fidelity have online quizzes to help you figure out what kind of loss you can stomach in 1 year, 5 years, etc.
3. Come up with an asset allocation model that matches your appetite for risk. Depending on your situation, this might include a mix of U.S. and international equities, bonds and alternatives such as commodities or real estate.
4. As part of your asset allocation, decide how much of your portfolio should be composed of individual stocks as opposed to low-cost, broadly diversified index funds. Write down your philosophy toward individual stocks in general. Don't make an exception for your employer based on personal bias.
5. Research Amazon's [Insider Trading policy](#) to understand when and under which circumstances you're allowed to buy or sell the stock. The rules may vary depending on your position and your responsibilities within the company.
6. Meet with an accountant or do independent research to find an efficient capital gains tax strategy for your situation.
7. Using your risk tolerance and overall asset allocation as a guide, identify what percentage of your portfolio should be in Amazon stock.
8. Rebalance at regular intervals, following your personal tax strategy, to maintain the desired level of risk in your portfolio.

As a pre-requisite to all this, you may want to refer to [this general financial guidance](#) that boils down how to manage your finances into a small notecard.

Q: How do I change my federal tax withholding percentage for Amazon stock vests?

Federal tax withholding for RSU vesting is set to 22% by default. This often results in underpayment of taxes for those in a higher tax bracket, and potentially in underpayment penalties (in addition to having to pay the owed tax when filing annual taxes). Side note - Medicare and social security taxes are withheld at normal rates,

just like with any paycheck. Rules for state taxes can vary by state.

Employees can now change their Federal Tax Withholding rate by logging in to their [Amazon Stock](#) portal account. The current minimum withholding rate is 22%. The Amazon Stock team supports increased tax withholding rates of up to 37%. (When in doubt, a rule of thumb is to set it as close as you can to your tax bracket %).

Below are the steps to select your increased Federal Tax Withholding rate on the Amazon Stock portal ([official instructions](#)):

1. Access the Amazon Stock portal at <https://www.amazonstock.com> (only accessible from the Amazon network)
2. Click on the "Stock awards" tab available from the landing page. [ptharad@: That just seemed to re-direct me back to the same page on Windows Chrome. Alternatively, I clicked on "See all stock awards" on the "Vesting summary" section. That worked.]
3. Click on "US Federal tax rate"
4. A new Tax Elections window will appear on your screen.
 - You may select which vesting event the increased tax election rate is applied to by: all current awards, all current and future awards, year, or award and vest.

Employees subject to the [trading window](#) are not allowed to change their Federal Tax Withholding rate outside an open window. Additionally, employees subject to [pre-clearance](#) will need to select the "Preclearance Tool" link in order to get approval prior to increasing their Federal Tax Withholding rate.

Please visit the [Insider Trading policy](#) on Inside Amazon and email stockpolicy@amazon.com with any questions regarding Amazon's Insider Trading Policy, including the trading window, preclearance, and how it applies to you. The concerned team will reach out to you via email for further assistance.

Q: What brokerages are available?

On Feb 26, 2019, an Inside Amazon post introduced the availability of [amazonstock.com](https://www.amazonstock.com) to manage RSUs, adding Fidelity another option to Morgan Stanley.

<https://inside.amazon.com/en/Pages/The-new-Amazon-Stock-portal%E2%80%A6where-the-choice-is-yours!-hrcat.aspx>

There is also a comprehensive breakdown similar to the following by selecting **Compare Brokers** on [amazonstock.com](https://www.amazonstock.com)

	Morgan Stanley (MS)	Fidelity
pros	1. ???	1. Upon vesting, shares are deposited into full-featured brokerage account. 2. Allows designating beneficiaries (for the account that holds your vested shares). 3. No trading fees for stocks/ETFs. (Note that there's still a "vesting" fee at both brokerages) 4. Manage your 401k and RSUs in the same

		account! 5. Free wire transfers (but your bank probably charges a fee for receiving them)
cons	1. Trading fee for selling your vested shares. 2. Does not allow designating beneficiaries. 3. By default vested shares are deposited into a limited account usable only for holding and selling AMZN shares. 4. Other issues	1. (as of 2024 tax year) 1099-B form for RSU vesting shows 0 cost basis, real cost basis is on a next page in the same pdf. Don't miss it when filing taxes.
same	1. Cost basis of shares at vesting is not reported to IRS and if you don't enter it when filing taxes, IRS will think you underpaid a significant amount of taxes. Make sure to read RSU taxation FAQ . 2. ACH transfers (slower than wire transfers) to US banks are free 3. \$9.95 vesting fee (per transaction day) for "sell to cover" or "sell all" for job level 5 and above	

Q: How do I switch from Morgan Stanley to Fidelity for future RSU vests?

If you already have a Fidelity login:

1. Go to the Amazon Stock broker page - <https://www.amazonstock.com/broker>
2. Turn off any ad blockers you have on your browser
3. Select Fidelity as your broker on the Amazon Stock broker page
4. Unblock the popup/new page, click the message about "associated accounts" and login to the Fidelity NetBenefits website (Fidelity should recognize you have existing accounts and require you to login)
5. On the "Your Portfolio" main screen for Amazon.com Services LLC click the large "Stock Plan, Open Account" button and follow the prompts to set it up
6. Wait for an email from Amazon when grants are available or check if they are transferred over in "one to two business days"

If you don't already have a Fidelity login:

1. Go to the Amazon Stock broker page - <https://www.amazonstock.com/broker>
2. Turn off any ad blockers you have on your browser
3. Select Fidelity as your broker on the Amazon Stock broker page
4. If you don't have an account at Fidelity, click the link to create one
5. Follow through with the information prompts until you are successfully registered
6. Once registered, you'll be redirected to the Fidelity website to create an account
 1. If you receive a session timeout message once being transferred to create the account, just close the tab and go back to the Amazon Stock broker page
 2. Click "See next steps" on the broker page. It will restart your session
7. Fill out the personal and employer information to create an account
8. Confirm your information and create the account
9. Turn your ad blockers back on
10. Register your Fidelity account on any finance apps you use (e.g. Personal Capital, Mint)
11. Wait a few days for your stock grants to appear (typically 3 days)

Q: Does changing brokerage on www.amazonstock.com move my vested shares?

No. Selecting a new brokerage on www.amazonstock.com will only affect future RSU vests. Vested shares will stay in the current brokerage unless you sell them or transfer them to some other brokerage (any brokerage, not just MS or Fidelity)

Q: How do I move my vested Amazon stock (or any other shares) from brokerage X to brokerage Y?

1. Save copies of all recent statements, and cost basis information, and any tax documents from brokerage X. In some cases cost basis fails to transfer (or takes longer than transfer of stocks themselves). In case of full transfers your old brokerage is likely to close your account so you would no longer have easy access to statements and tax documents.
2. Go to the website of brokerage Y (**receiving** brokerage) and find instructions on transferring stocks. Alternatively call their customer support.
3. Follow the instructions. You will likely be asked for your account number in brokerage X, what assets to transfer, whether it's a full or partial transfer, and a recent statement from brokerage X. Sometimes (for very high value transfers or in for certain brokerages or if account ownership is different) they might ask you for Medallion Signature Guarantee which can be a pain to get.
4. Wait for transfer to complete.

Q: How do I move my vested Amazon stock out of Morgan Stanley?

If you have a Schwab account (or are starting a new one, perhaps), see the [MovingMorganStanleyStockToSchwab wiki](#). Aside from having a better web UI, Schwab has cheaper [trading costs](#) (at least as of July 2017).

You can do something similar for many other banks and it is often a free process (check with the receiving bank in advance though) - see the [Stock Plan Connect FAQ](#). Just be sure to note down cost basis information as the receiving bank may not track that automatically. Cost basis means: how much did you "pay" for those shares (how much they cost when they vested) and how much did you pay in taxes for that vest? See the [official guide](#) on cost basis and tax reporting from the Amazon Stock Team for more details.

This has been the most accurate guide for moving vested Amazon RSUs from Morgan Stanley to Fidelity:

1. Fill out "Letter of Authorization for Stock Transfer" from Morgan Stanley <https://www.stockplanconnect.com/forms/5738-SPS.pdf>. This performs an in-kind DTC transfer. Not an ACAT. Refer to [this guide](#) to fill out the details.
2. Fax it to Morgan Stanley. The PDF has the fax number.
3. On top of that, SCAN YOUR SIGNED COPY as pdf and email to yourself.
4. Wait 30 min to 1 hr. CALL MORGAN STANLEY with the phone number (not the fax number) in the pdf to confirm fax was received. In my case, they told me they did not receive the fax and emailed me a link to their Secure Mail system to resend the information online.
5. In a few days, Morgan Stanley will call confirming your authorization. You should have access to your Amazon email at this time because they email you an authorization code.
6. Transfer completes within 3-5 business days. Confirm in your Fidelity account.

[2022-02 Updated] **NEW! Online Share Transfer Functionality for U.S. / Non-Gifting Transfers is eligi-**

Die for moving Amazon RSUs out of MS.

1. First, if sending shares outside of Morgan Stanley, set up your outside brokerage account by clicking on the icon with your initials at top/right of site, select View Profile, then Manage Brokerage Account Information.
2. Select Add Brokerage Account and enter your outside broker account information (Note: Clearing Code is the receiving firm's 4 digit DTC number, e.g. Fidelity's 4 Digit DTC Number is 0226. Note 2: For Fidelity, I needed to enter the 9 digit account number, **not** the longer one)
 1. The DTC number for Merrill Edge is 8862
3. Next, to initiate share transfer request click the Sell/Transfer Shares or Withdraw link on the StockPlan Connect Dashboard or on the Portfolio > Shares & Cash Holdings page
4. Transaction Type: select Shares Transfer, confirm Lot Selection, enter number of shares to transfer next to Employee Shares and continue
5. Select if you are sending shares to Electronic Transfer (outside of Morgan Stanley) or sending shares to your Morgan Stanley brokerage account (e.g. Access Direct, Active Assets Account, etc.)
6. Select how you want any cash sent to you if a Fractional Shares needs to be sold off (if applicable), then continue
7. Verify the relevant information to the share transfer is correct, then check the Transaction Agreement, Re-enter password, and Submit Transaction
8. If provided all instructions are accurate, shares will leave Morgan Stanley within 2-3 business days*

*Note: as part of fraud prevention measures, you may receive a call from Morgan Stanley verifying your request prior to the transfer taking place. Also, if you are subject to closed trading windows and the trading window is currently closed, you will need to contact the Morgan Stanley Service Center.

* **Note:** This method does not work for 'Outside U.S. Employees' Accounts on Fidelity where their account number starts with 'I'

Q: How do I move my vested Amazon stock out of Fidelity?

As of June 2019, Fidelity is very picky about how the requests to do a transfer are formatted (there are a few anecdotal data points for this from people trying to move shares into Schwab and Merrill). Depending on your broker, moving stock from Fidelity may be easier than Morgan Stanley because it can be initiated via ACATS and you don't have to play fax and phone tag like with Morgan Stanley.

The happy case for getting shares out of them looks like:

1. Make sure that you don't use the brokerage account for anything but RSUs. If you use Fidelity as a normal brokerage, then you're probably not transferring out, but if you want to do this, then you should have a separate account.
2. Initiate a full account transfer from the receiving brokerage. Ideally, this is an individual account. If it's not, then you'll need to provide signatures and social security numbers, which will make this more of a hassle. If you just say that you want to do a partial account transfer, but you don't really have anything but AMZN shares in that account, it will be denied. There isn't a fee for transferring securities out of Fidelity, unlike many other brokers.
3. After the shares disappear from Fidelity, transfer some cash into it to keep it active. A dollar should be sufficient for that purpose. Transferring all the shares from the account doesn't close the account, but everything does get moved, including the cash.

Guide for Moving Shares from Fidelity to Schwab

1. Go to schwab.com/transfer and log in
2. Select Fidelity investment account - Individual
3. Enter your Fidelity account ID and select your Schwab brokerage account to transfer to
4. Click Continue to advance to the assets page
5. On the assets page you have options. Do one of the below options:
 1. Select "Transfer the entire account" if your Fidelity account is just AMZN shares and you're transferring all the shares.
 - **NOTE:** This kind of request will close the Fidelity brokerage account and may be rejected by Fidelity if you don't have another brokerage account for your future RSUs to vest into.
 2. If you have other assets in the account and only want to transfer AMZN shares, or do not wish to close your Fidelity account, select "Only specific securities and/or cash amount"
 - **NOTE:** You may need to keep \$250 in the brokerage account if you only have AMZN shares. If you attempt to move all of your shares and leave the account empty, Fidelity may automatically treat this as a "close account" request. The request will be rejected if closing the account would leave you with no brokerage account for future RSUs to vest into.
 1. For cash, select "None of the cash"
 2. In the next section, list "AMZN" and select the applicable amount of shares, then "Add to List"
 - Don't select "All of the shares" as this may trigger Fidelity to attempt to close the account and reject the request.
6. Confirm that the names are the same for both accounts
7. Verify and consent
8. Submit transfer and note the confirmation number
9. Transfer should take about 5-7 business days. You can navigate to schwab.com/transfer to check the status of the transfer. Schwab will also send emails when the transfer starts and completes.
10. After 5-7 business days, verify the transfer is complete
11. About 5 business days after the transfer has completed, the cost basis should have been transferred over automatically. If not, enter manually.

Moving Shares from Fidelity (non-US)

Fidelity Stock Plan accounts opened for non-US employees are not eligible for ACATS, so you have to initiate a DTC transfer with Fidelity.

1. Review the international transfer [form](#)
2. Contact the receiving broker and get 'receiving institution' and 'intermediary institution' details.
 1. for Interactive Brokers: initiate an inbound DTC (FOP US) request from Fidelity in Account Management/Transfer & Pay; IB is self-clearing, in 'intermediary institution' put "Interactive brokers", DTC 0534. in 'Email address', put "Please contact via phone".
3. Fill in the form and put both Trade Date and Settlement Date 5 business days from the current date.
4. Send the form, a copy of your ID/passport and authorization form from the receiving broker (if available) **from your Amazon mailbox** to sps@fidelity.com (total size of attachments should be less than 10MB). Indicate your participant number (starts with I).
5. Once you get an automated acknowledgement of receipt, wait for the Settlement Date. The shares will

appear in your receiving broker account.

Q: In what order do I sell my RSUs?

In general, the prioritization for selling RSUs should be:

1. Already vested RSUs you can sell for a loss. There haven't been many opportunities for this recently due to AMZN's great performance. Be aware of wash sales triggered by both selling for a loss and acquiring shares within a 30 day period.
2. RSUs that just vested. The vested amount is treated as normal income no matter if you sell or not, and the gain when selling will be zero (actually a slight loss due to commission). "Sell to cover" and "sell all" elections are in this category.
3. Already vested RSUs that have been held for over 1 year, starting with the smallest gains first
4. Already vested RSUs that have been held for less than 1 year, starting with the smallest gains first.

These are just general guidelines, YMMV.

In some cases, it might be worth it to realize slightly appreciated short term gains over long term gains with more appreciation, particularly if you believe you can defer the bulk of the high-appreciation gains until you are in a lower tax bracket (remember, long term gains can be taxed at 0%-23.8%)...or die, I guess.

Another reason to deviate from these guidelines is when you know your marginal rate is going up (moving into a higher bracket, laws changing, moving to high tax state, etc). In these cases, it may be worth it to realize long term gains instead of deferring them.

One other thing to call out is that you pay taxes twice on your RSUs:

- On the day you vest, you immediately pay (income) tax on the total vest amount. You can do this by paying cash, sell to cover, or sell all.
- On the day you sell, you pay taxes on the gains, i.e. capital gains (long or short) which is the difference between the sell price and the vest price (i.e. the growth, hopefully).

Q: How do I donate stock to a charitable cause?

Assuming you're talking about donating Amazon stock that has vested and has appreciated since you've acquired it [0].

1. Confirm that the charity you're donating to will accept securities.
2. Gather the charitable entity's brokerage info. This includes:
 1. The brokerage firm
 2. DTC number
 3. Account title
 4. Account number
3. Fill out a transfer form at Morgan Stanley or Fidelity using the above info. It's similar to [1] and [2]. For MS, you have to fax or mail it.
4. Morgan Stanley will call you to confirm the transfer. (If they don't, check in on them in a week.) Last time I did it, they sent me an email, and I had to confirm a one-time security code they sent me. Haven't done this with Fidelity. Wait several business days and confirm that the shares disappeared from your account.
5. Contact your charity and let them know:

1. The date of the donation

1. The date of the donation
2. The stock ticker and the number of shares
3. The sending firm (Morgan Stanley or Fidelity)
6. The charity should then send you a receipt with a date that they received the shares.
7. ...
8. Come tax time, you can deduct the full value of the shares on the day they were donated. The price I use is the intraday (max price + min price)/2. Do not pay capital gains. The intraday (max+min)/2 price is the IRS-approved correct way to price stock for charitable investment purposes:
<https://www.irs.gov/publications/p561#idm140501150125168>

If the answer to #1 is "no, the charity doesn't accept securities" – then another option is to create a Donor Advised Fund (e.g. <https://www.vanguardcharitable.org/>), make stock donations to that fund using the process above, and then recommend smaller donations to any 501c(3) charity.[3]

Note: Donating shares does not absolve you of the taxes to be paid on the shares received. It does absolve you of paying capital gains taxes on the gains.

[0] https://www.bogleheads.org/wiki/Donating_appreciated_securities

[1]

<https://w.amazon.com/index.php/Investing/FAQ#HQ:HowdI movemyvestedAmazonstockoutofMorganStanley3E>

[2] <https://w.amazon.com/index.php/Investing/FAQ#HQ:HowdI movemyvestedAmazonstockoutofFidelity3F>

[3] I like [Fidelity's DAF](#). If you use Fidelity as your broker it allows you to pull shares directly from your fidelity account. It costs roughly \$100 a year, so you'll need to know if shares that you give annually has appreciated at least (\$100/cap gain rate)

Q. How is the FMV Calculated on my RSU shares?

The FMV for a share of Amazon in an RSU is the average cost of all shares sold on the market by Fidelity and Morgan Stanley during the day that your vest occurred. This is the same number for everyone that vested RSUs on that day as a result.

Q. So mechanically, how do RSUs get granted?

This is described in the 1997 Stock Incentive Plan (as amended and restated). RSUs are granted out of treasury shares, which the company maintains. Per the plan, while the company does earmark the shares for you, this is an unfunded plan, so they aren't held in a special account for plan participants.

On the day of the vest, these shares are transferred from the company treasury over to Morgan Stanley or Fidelity. In order to come up with cash for sell to cover or sell all, a certain number of shares are sold over the course of the day. The average of all these sales is the Fair Market Value (FMV) of the shares and ultimately determines what you pay in ordinary income tax for the grant.

Note that while this is generally true for US employees, this can't cover all tax situations, so consult with someone that understands your specific situation if you're in doubt.

2 General Investing Questions

Q. Should I be an investor?

If you do not have any [bad debt](#)[↗], have 3-6 months of expenses available as an [emergency fund](#)[↗], and have money which you don't need for at least 5+ years then yes you're probably ready to invest.

** Generally this is anything with a high or variable interest rate on something that is not creating value.*

Q: What tools have others shared that they like for personal financial management?

Do not add referral links to this section.

- [rocketmoney.com](#)[↗]
 - Checking recurring expenses, weekly/monthly expense tracking. All account view somewhere similar to mints
- [www.personalcapital.com](#)[↗]
 - all-in-one management
- [www.sigfig.com](#)[↗]
 - manages investment portfolio only
- [money.yodlee.com](#)[↗]
 - management of your daily spending, bank holdings, budgets, etc
- [www.ledger-cli.org/](#)[↗]
 - unix-oriented. simple.
- [www.everydollar.com](#)[↗]
 - More for beginners, YMMV. Freemium platform. Similar concept to YNAB, but with fewer reconciliation and budget adjustment features.
- [www.wealthfront.com](#)[↗]
 - all-in-one view
 - well made app. simple. It tracks how much you save every month and forecast how much you will have after retirement.
- bouier@'s [Excel sheet](#) for budgeting is awesomesauce
- You Need a Budget ([ynab.com](#)[↗])
 - Paid subscription
 - "Envelope" budgeting. Optionally imports your bank transactions using Plaid. Great for budgeting, not so much for investment tracking.

Q: Should I use robo-investors like Betterment or Wealthfront?

Using a robo-investor is sort of like going to Jiffy Lube for an oil change: you only need to use them during the following occasions:

- You don't know what you're doing and don't really have time to learn – you just need the service performed
- You do know what you're doing but just don't have the time to do it

- You do know what you're doing but just don't want to do it (i.e. you find it boring)

Information on roboinvestors (or not to robo-invest):

- [Read this](#) for an effective deconstruction of the costs involved.
- If you like the microinvesting you may find them to be valuable, but if you can establish your goals as far as your risk tolerance and when you want to use your savings on your own then you can save money by using low-cost diversified index funds or at least retirement target funds (which are already balanced out for various levels of risk tolerance). For a primer on how to do that, [read this](#). For a deeper dive, check out [The Little Book of Common Sense Investing](#) or [A Random Walk Down Wall Street](#).
- One other thing to note: there seems to be a consensus that the robo-investors are good at [tax-loss harvesting](#).
- Another take on robo-advisers including TLH: <https://www.gocurrycracker.com/why-betterment-has-zero-of-our-dollars/>

List of roboinvestors and their pros and cons:

1. Wealthfront - <https://www.wealthfront.com/>
 1. Pros:
 2. Cons:
2. Betterment - <https://www.betterment.com/>
 1. Pros:
 2. Cons:
3. M1 Finance - <https://www.m1finance.com/>
 1. Pros:
 2. Cons:
4. Composer - <https://www.composer.trade/>
 1. Pros: Invest in fully automated stock strategies; Build custom strategies with our no-code builder
 2. Cons:

Q: Should I use a human financial advisor?

Using a financial advisor is sort of like going to Jiffy Lube for an oil change: you only need to use them during the following occasions:

- You don't know what you're doing and don't really have time to learn – you just need the service performed
- You do know what you're doing but just don't have the time to do it
- You do know what you're doing but just don't want to do it (i.e. you find it boring)
- You'd like confirmation that you did things correctly
- You do know what you're doing, you do have time to do it, you don't find it boring, are cognizant on managing your overall portfolio fees, and want to have access to opportunities not available to everyone (i.e. If it fits your risk profile, potential access to IPOs at the first day pricing prior to any pop or drop. See [example](#)).

And much like going to Jiffy Lube to change the oil in your car, there are car enthusiasts out there who will tell you how much better it would be if you changed the oil yourself :)

That said, a financial advisor can be a great resource & help – provided you get the right one. Consider seeking

out fee-based advisors from independent firms (as opposed to commission based advisors or those that work for a company that also sells investments) that charge a (small) percentage of assets under management. That aligns their incentives with yours (they get paid more as your assets grow), but also means that it will take away from your returns (this is broken down [here](#), but be aware that that article is editorially a bit skewed against financial advisors). Also be sure to [look](#) for a financial advisor that is a [fiduciary](#) (meaning that they have to put your best financial interests first over their own and they must disclose conflicts of interest).

If you are interested in a financial advisor, consider a limited-time engagement. Sign up but commit yourself to taking over after a fixed period of time - a year or so. This will give you a really good look at what an advisor actually does (beyond the marketing) and you can then decide how hard it is to replicate---with, for example, an asset allocation approach using index funds or ETFs. That said, many people stay with advisors for the long term, because they value the peace of mind and the specific services that the advisors provide.

Not maintained by investing@ (validate they are fiduciary and fee-based!), but this is an internal wiki that compiles SEA FA: <https://w.amazon.com/index.php/SeattleFinancialAdvisors>

Q: What should I invest in?

You should invest in whatever asset, product, service, stock, or bond that you are very comfortable with. There is no right answer to this question. If there was, everybody would buy into it. The general set of recommendations is as follows:

- Keep the expenses associated with your assets as low as possible
- Broadly diversify the majority of your portfolio
- Think long-term (5+ years) and don't make short-term decisions based off of PR announcements or product releases

Once again: **We are not financial planners, we're just normal folks like you. All investments are subject to risk, including the possible loss of the money you invest.**

While it is tempting to make investing complicated, there is a surprisingly consistent thread of advice that runs through many of the resources listed on this page. Low cost index funds. Warren Buffett (who has made his name picking individual stocks) [was asked this question](#): "If you were 30 years old and had no dependents but a full-time job that precluded full-time investing, how would you invest your first million dollars, assuming that you can cover 18 months of expenses with other savings? Thank you in advance for being as specific as possible with asset classes and allocation percentage." Buffett let out a small laugh and began. "I'd put it all in a low-cost index fund that tracks the S&P 500 and get back to work..." Buffett's will also offers these instructions for the money left for his wife: "Put 10% of the cash in short-term government bonds and 90% in a very low-cost S&P 500 index fund. (I suggest Vanguard's.)" He has also been quoted saying that "consistently buy an **S&P 500** low-cost index fund... I think it's the thing that makes the most sense practically all of the time." You will see this advice echoed in step 10 of [the Order of Operations below](#) and it is the main point of several of [the books listed below](#) ([A Random Walk Down Wall Street](#), [Common Sense on Mutual Funds](#), [The Little Book of Common Sense Investing](#), [The Bogleheads' Guide to Investing](#) and other classics like [The Only Investment Guide You'll Ever Need](#)).

TL;DR: if you want specific recommendations, these options are widely considered to be reasonably optimal:

- Easiest option: "target date retirement" or "lifestyle" (aggressive) fund. Invest in the one with the year you

plan to retire in.

- More control: Get general stock market low-cost index funds like VTSAX/VFIAX (Vanguard total market and S&P 500 funds; many brokerages have their own versions of these that you can use, or sometimes they just offer the Vanguard one). To hedge against stock market volatility, consider adding a small percentage of a bond fund (generally government bonds, for safety). A common recommendation is $110 - (\text{your age}) = \% \text{ of money in stocks}$. So if you're 30, consider 80% stocks and 20% bonds. Rebalance (i.e. sell one and buy the other) every few months/years to keep the percentages correct as the values of the assets change.

Remember that you can always just choose something simple (like the above options) and then adjust it later as you become more experienced. There's no penalty or tax to change investments within retirement accounts like 401(k)s, IRAs, or HSAs.

Q: Shouldn't I go all in on AMZN? It has had XX% growth YoY!

You should consider whether or not you want to tie both your immediate financial future (job with Amazon) along with your long-term financial future (AMZN stock) to Amazon so heavily. Perhaps this is the right decision for you, but it is not universally a great decision.

Q: How much should I invest into AMZN then?

That is a question only you can answer based on your risk tolerance and financial plan.

When considering whether to sell your vested RSUs, often a good rule of thumb is: if I was given this stock grant in cash, would I turn around and buy Amazon stock (if I could get it at the equivalent price)? Also consider the fact that any investments you hold for longer than a year are subject to long term capital gains tax (15%-20% depending on your [tax bracket](#)) versus short term capital gains tax (30%), but since you pay income tax when you vest you're only being taxed on the capital gains between the price at vest and when you sell.

Q: When should I sell my investment?

1. Fundamentals of the company have changes
 - a. Declining revenues, declining margins, declining profits, and/or losses
 - b. Competitive landscape has changed - new competitors or existing competitors are taking over, causing market share to shrink
 - c. Platform shift - ex. on-premise servers to the cloud, cable TV to over-the-top
2. Portfolio Management
 - a. You need the money in the next 3 years
 - b. A position in one stock has grown too large (depending on your risk tolerance)
 - c. You found a better opportunity
 - d. You want to harvest tax losses
 - e. You need to rebalance
3. Psychology and Life Choices
 - a. You are losing sleep over the investment or causing you excessive stress
 - b. The company is violating your ethics or morality (ex. selling your data, genetic engineering, tobacco stocks)
 - c. You need the money for something important (ex. buy a house, school)

Q: What finance books have others shared that they like?

Note: This is not any sort of “definitive” list of finance books. There are many other great finance books that are not on this list. There are also many bad finance books out there too, so *Caveat Emptor*.

- [The Truth About Money](#)
 - One of the best books available to get an overview of all the major components to think about when developing a financial plan. Unlike many finance books, this one is written by an actual financial advisor (one of the largest in the country now), so it may appear a little biased to some. However it's still a great book for DIY types. Also touches on behavioral finance topics and has the best Traditional/Roth IRA contribution flowchart I've ever seen.
- [The Lies About Money](#)
 - Written in the wake of numerous financial scandals in the early-mid 2000's, this book talks about why it's important to vet potential investment firms, and has a section on determining a good asset allocation.
- [The Truth About Retirement Plans and IRAs](#)
 - If you really want a good understanding of retirement plans (e.g. 401(k)), pensions, and IRAs - both contributing to them AND getting your money out of them, then this is probably the best book on the subject short of reading the IRS publications directly.
- [All Your Worth](#)
 - Written by Elizabeth Warren (yes, THAT Elizabeth Warren, when she was still an Economics professor at Harvard) and her daughter, It focuses on the importance of distinguishing between needs, wants, & savings, and shows how to setup a budget and why it matters.
- [I Will Teach You To Be Rich](#)
 - Great intro book - especially for young folks just starting out. Good focus on Conscious Spending and automating bills and investments.
- [All About Asset Allocation](#)
 - Goes into great depth on why asset allocation matters and how to determine an appropriate one for yourself.
- [Buffettology](#)
 - Think you can pick stocks like Warren Buffett? Well, you can't. But this book outlines a very simple (and popular) step-by-step approach to identify quality stocks.
- [The Intelligent Investor](#)
 - You REALLY want to pick your own stocks? This is the book that made Warren Buffett go find Benjamin Graham and study under him. Buffett still considers it to be his favorite investing book. It outlines a practical, methodical, and conservative approach to selecting stocks (which makes sense, as Ben Graham lived through the Great Depression). Pioneered the idea of buying with a "margin of safety".
- [Security Analysis](#)
 - You REALLY, REALLY want to pick your own stocks? Then this book is the starting point. Where Benjamin Graham wrote The Intelligent Investor for the general public, He (& David Dodd) wrote Security Analysis for the folks who plan to make investing their full-time job. This book introduced the Value Investing methodology to the world, and is still used in college classes to this day. Purists consider the 1951 version to be the best.
- [Common Stocks and Uncommon Profits](#)

Written by the author of the book, it's a great introduction to the world of value investing. It's a classic, and it's still relevant today.

- written by the other guy who had a major impact on Buffett's investment style, Phil Fisher, this book popularized the idea of buying great businesses - even if the price isn't very cheap.
- [The Little Book of Valuation](#)
 - A great primer on what it REALLY takes to properly value a company to determine if its stock is worth buying.
- [Value Averaging](#)
 - Heard of Dollar Cost Averaging? Value Averaging is its bigger, better brother. Harder to do, but can generate better returns than plain old DCA.
- [Free Cash Flow](#)
 - Covers everything about how to evaluate a company based on free cash flow - from why its a superior metric than earnings, to how to read a free cash flow statement and determine a company's value.
- [A Random Walk Down Wall Street](#)
 - A great book that clearly explains why trying to pick stocks yourself can be a problem - for both laymen and professional investors. Explains why mutual funds and asset allocation are a better approach.
- [Common Sense on Mutual Funds](#)
 - Written by the father of index funds himself, Jack Bogle, This book VERY explicitly states (with facts and stuff) why picking individual stocks is stupid, active mutual funds are bad, and why index funds are superior to them both for almost everyone. What else would you expect from the founder of Vanguard? Great book.
- [The Little Book of Common Sense Investing](#)
 - Also written by Jack Bogle, it's a smaller, more easily digestible summarization of his book Common Sense on Mutual Funds. This one also explains why Index investing is superior, and he gives his opinion on ETFs and where they fit in a portfolio.
- [The Bogleheads' Guide to Investing](#)
 - Jack Bogle and the company he founded (Vanguard) have proven so popular that a bit of a cult following developed. Calling themselves "Bogleheads", the main core of the group wrote a book that worships at the altar of index investing. It leans conservative in its investment philosophy (like Bogle himself), and leans towards an older audience.
- [The Four Pillars of Investing](#)
 - A great, easy-to-read book that ties together the "Four Pillars" (Theory, History, Psychology, & Business) that make up an understanding of what it takes to be a successful investor.
- [The Intelligent Asset Allocator](#)
 - One of the early primers that really covered the details of asset allocation. Also talks about risk management.
- [The Investor's Manifesto](#)
 - Written in the wake of the 2008 global financial crisis, outlines simple, practical (& relatively conservative) steps to stay on track with investing. For people who didn't really experience the financial crisis in 2008, some of the advice in this book can seem almost **too** conservative (e.g. pay no more than 180x fair-market monthly rent for a home), but this was one of the few finance books that was optimistic during that time, meant to cushion an investor against the very things that led to that crisis. And the advice still holds up well today. Talks about investing history, Pascal's Wager, behavioral finance, & the Gordon equation among other things.
- [Naked Economics](#)

- If there was only one book you could read to get an above-average understanding of what economics even *is* and why it matters, this is the book. Easy to read, and actually makes economic theory sound interesting.
- [Naked Money](#)
 - Great book to understand why money exists, What central banks like the Federal Reserve actually do (and what they can't do), the difference between monetary & fiscal policy, why gold isn't a panacea (it's not bad either), and why fiat currency (while not perfect) even exists at all and why it's not the evil that some people think it is. Anyone who thinks they know what money is should read this book - they'll probably learn something new.
- [Extraordinary popular Delusions and the Madness of Crowds](#)
 - Originally written in the 19th century, helps put into perspective that people are not rational, and never have been. Speculation, bubbles, scams, & fraud are as old as civilization. Will put things like the housing and Bitcoin bubbles into perspective.
- [The Simple Path to Wealth](#)
 - Combination of Personal Finance / Frugality along with a dose of Bogleheads' philosophy around index fund investing.
- [Margin of Safety](#)
 - Another one from Benjamin Graham's class of investing. If you can afford the first edition print, it is a great read
- [The Hands off Investor](#)
 - A great book summarizing how to invest passively in real-estate syndications. You get all of the benefits of owning real estate, without having to actively manage the property. This is an interesting alternative to the stock market, but comes with its own risks so getting educated is important. This book covers the topic very well
- [Die with Zero](#)
 - A great book that talks about why dying with the most money isn't necessarily the best way to have the best life. Profoundly impactful, and definitely different than most other personal finance books.
- [The Psychology of Money](#)
 - One of the best book to understand money from behavioral perspective. Encourage everyone to give it a read.

Q: What podcasts do you recommend?

- The Money Guy Show
 - <https://www.moneyguy.com/> 
- Planet Money and The Indicator on NPR
 - <https://www.npr.org/sections/money/> 
- The Stacking Benjamins Podcast
 - <https://www.stackingbenjamins.com/> 
- Jill on Money – She's a financial planner, worked on Wall Street, and LGBTQ friendly.
 - <https://www.jillonmoney.com/> 
- Two Cents on PBS – Good for teens and starter conversations.
 - <https://www.pbs.org/show/two-cents/> 
- Adam Knows Everything (video) - Adam can be misleading with experts so take it with a grain of salt.

He's on YouTube and on cable TV.

- <https://www.trutv.com/shows/adam-ruins-everything/index.html>
- Millennial Money Make It series on CNBC
 - <https://www.cnbc.com/millennial-money/>
- Refinery 29 Money Diaries – Catered to millennial women
 - <https://www.refinery29.com/en-us/2019/02/222957/money-diaries-podcast-season-1-episode-1>
- The Minimalists – If you're trying to reduce your level of consumerism
 - <https://www.theminimalists.com/podcast/>
- Farnoosh – Multicultural and focuses on different age groups
 - <http://podcast.farnoosh.tv/>
- His & Her Money – Good for recently married, soon-to-be wed, or for couples to get inspired about paying off debt
 - <https://www.hisandhermoney.com/>
- The Investors Podcast
 - <https://www.theinvestorspodcast.com/>
- DoughRoller / Rob Berger
 - <https://robberger.com/welcome-doughroller-readers/>
- MadFientist
 - <https://www.madfientist.com/podcast/>
- Paul Merriman - Wealth Management
 - <https://www.paulmerriman.com/sound-investing-posts>
- David Stein's *Money for the Rest of Us*
 - <https://moneyfortherestofus.com/episodes/>
- Odd Lots (Bloomberg)
 - https://www.bloomberg.com/podcasts/odd_lots
- Trade Talks (PIIE)
 - <https://www.tradetalkspodcast.com/>
- Behind the Money (Financial Times)
 - <https://www.ft.com/behind-the-money>
- Rational Reminder
 - <https://rationalreminder.ca/podcast-directory>
- Dave Ramsey – Debt management / Personal Finance
 - <https://www.ramseysolutions.com/shows>
- Animal Spirits
 - <https://awealthofcommonsense.com/podcast/>
- TBOY - The Best One Yet (Formerly Robinhood Snacks Daily)
 - <https://open.spotify.com/show/5RlIMBgVdNtau8nnsCUdse>
- Marketplace - There are a set of podcasts here most run daily with business news and economic stories
 - <https://www.marketplace.org/>
- Motley Fool Answers - Financial basics
- Standard Deviations - Science and psychology of money - warning: not all episodes are great
- Other recommendations
 - <https://www.valuepenguin.com/personal-finance/best-finance-podcasts>
 - <https://www.forbes.com/sites/cbreennan/2018/06/24/9-money-podcasts-you-should-be-listening-to/>

Q: What is short selling?/What is a short squeeze?

Short sellers are investors/speculators which borrow someone else's stock and sell it, in hopes that they can buy it back later on at a lower price. In order to do this, they must post collateral (typically, cash equating to 105% of the stock's value, adjusted daily); in addition, they take on the risk that the stock lender might demand their stock back at any time. If the short seller can't give the stock back, the lender will buy it back using the collateral (and the short seller will owe any shortage of collateral). Because there's no limit to how much loss you might incur if you're forced to cover, shorting stocks can be extremely risky.

Now, typically this collateral in turn comes from money borrowed from the short seller's broker; the collateral on that money is in turn various assets in the investor's account (margin). As the shorted stock's price rises, the amount of collateral required rises as well, until eventually it hits limits set by the short seller's broker (or the short seller's own risk tolerance), at which point they can be forced to buy back ("cover") the shorted stock at a high price in order to cover the position. This pushes the price even higher, which may force other short sellers to cover. This is called a "short squeeze" and can result in an extremely rapid rise in stock price.

Another option is buying 'puts'. These are tradable options which allow you to sell a stock at a defined price, until a specified expiration date. In this case, the goal would be to lock in a high sales price, then later buy it as it drops further and sell using this locked in price, for a profit (or, to resell the rights to do the same). For instance a recently IPO-ed stock of a company in 2019, Beyond Meat (BYND) is heavily shorted, to the point where it is extremely difficult to borrow more shares. 650% fees means that you'd pay 6.5x the value of the stock to borrow it for a year; usually rates are much lower. Because of this, it's very vulnerable to a potential short squeeze, which could cause a rapid price increase, making those puts worthless.

Q: Are there any CPAs that can help me file my taxes?

Most people should be totally A-OK doing taxes on their own with one of the many tax software systems available. If one absolutely wants to use a CPA, Quip for recommendations can be found at <https://quip-amazon.com/aDeTAaiOMRDm>

3 Credit questions

1. Pay off your credit card debt
2. Maximize rewards - See [CreditCards wiki](#)
3. [Freeze your credit](#) to prevent identity theft.

- Equifax - <https://www.equifax.com/personal/credit-report-services/credit-freeze/>
- Experian - <https://www.experian.com/freeze/center.html>
- Transunion - <https://www.transunion.com/credit-freeze>
- Innovis - <https://www.innovis.com/personal/securityFreeze>
- NCTUE - <https://www.nctue.com/Consumers>
- ChexSystems - <https://www.chexsystems.com/web/chexsystems/consumerdebit/page/securityfreeze/placefreeze/>

4. [Optional] Learn how credit scores are [calculated](#). You have more than one, but the basics remain the same.

4 401(k) questions

Q: What should I do if I have a question regarding the Amazon 401(k) benefit?

There's a lot of great answers in the [official FAQ](#). Please look there first.

If you have a 401(k) question that is not addressed by the FAQ, [Open an HR Case to ERC with your question](#). The ERC are likely to answer the question themselves, or they'll escalate to the 401(k) benefits team.

Q: Can Fidelity help me make investment choices?

see next question

Q: If I want to speak with Fidelity 1:1 about my 401(k), how do I do that?

Sign-up for a 1:1 session [here](#).

Q: What tax-advantaged retirement saving accounts are available to amazonians?

You can contribute to Traditional 401k, Roth 401k, or after-tax 401k in company-sponsored plan:

- Traditional = pre-tax - means that your taxable income is reduced by contribution amount. Withdrawals (including gains) are taxed as regular income.
- Roth - contributions are taxable, but withdrawals (including gains) are tax free.
- After-tax (this is different from Roth) - contributions are taxable, and gains are taxable. But this can be used with in-service conversion into Roth 401k or IRA, effectively allowing to contribute more than the regular 401k limits - see "mega backdoor Roth" section of this wiki.

You also may be able to (independently of Amazon) contribute to Traditional IRA or Roth IRA, subject to applicable tax laws:

- traditional IRA (has relatively strict [income limits](#) for making it tax-deductible) - contributions are tax-deductible if your income is below the limit. Withdrawals (including gains) are taxed as regular income.
- Roth IRA (has a [higher income limit](#) which still prevents contributions for many, especially in tech roles) - no tax deductions, but withdrawals (including gains) are tax-free.
- "[backdoor roth IRA](#)" is a process of contributing to a traditional IRA without taking a tax deduction and then converting that balance to Roth IRA tax-free (must have \$0 balances in all traditional/rollover IRAs for this!)

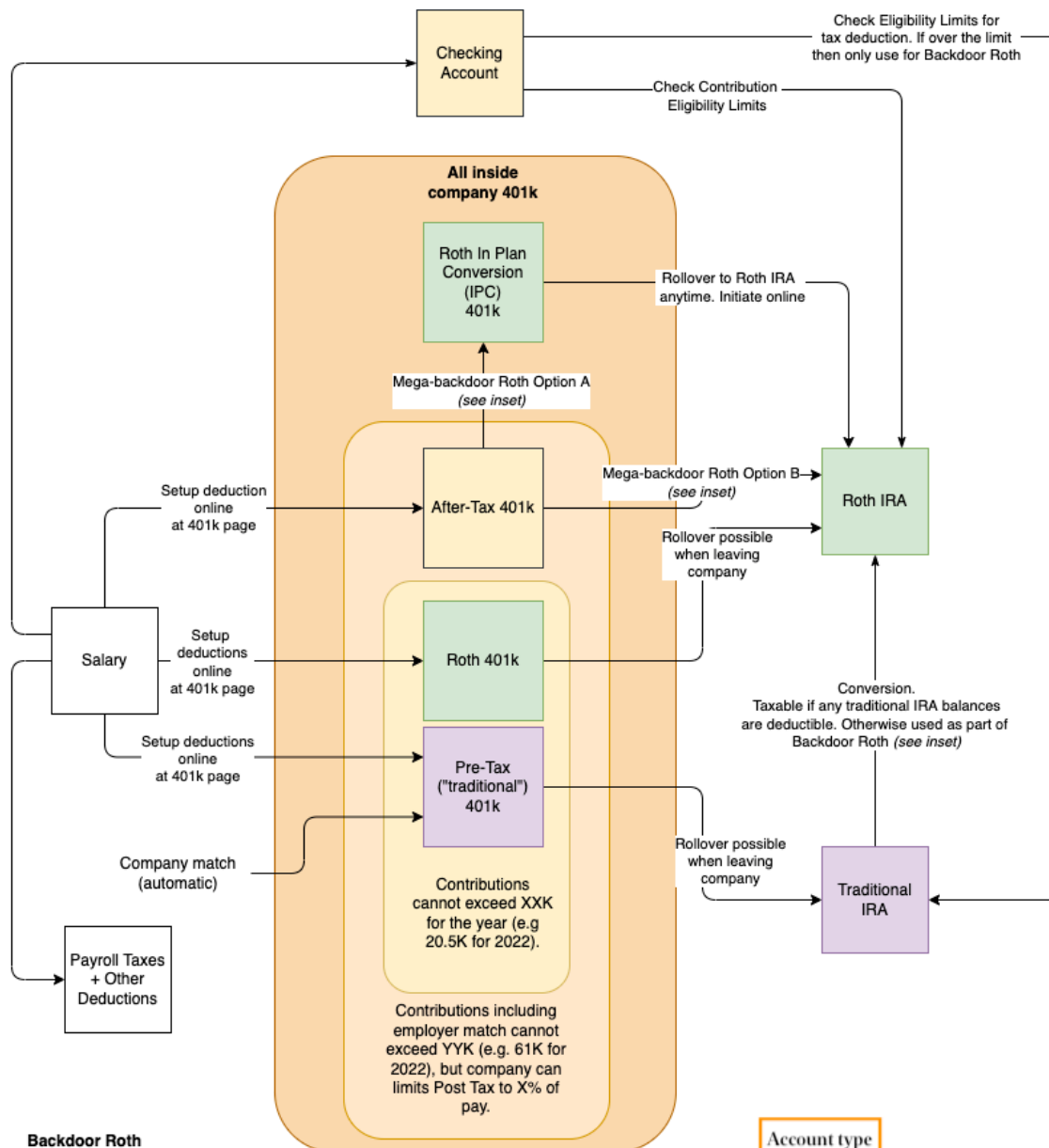
Roth IPC 401k (in-plan-conversion) is a 401k bucket for after-tax contributions that were converted to Roth. Its tax treatment is same as Roth 401k. Only difference I know is that Roth IPC 401k (the new 2020 Fidelity feature) can be rolled over to a Roth IRA while you are still employed, while regular Roth 401k cannot be.

Generally you don't want to hold money in After-tax 401k any amount of time because the earnings on your after-tax contributions will be taxed, you should enable automatic in-plan-conversion for your after-tax contri-

butions. You can leave that balance in Roth IPC 401k or rollover from there to Roth IRA (to access more in-

vestment choices) anytime.

Graphical summary on which way can you contribute and convert money between various accounts.



Backdoor Roth

- Conversion is usually done online on-demand (process depends on brokerage you use, search online for guides for your brokerage)
- Assumes all money in all tIRAs is post-tax and no pre-tax rollovers.
- If there is rollover / pre-tax money, pro-rata rules will apply (part of the conversion will be taxable)

Mega Backdoor Option A

- Can be setup online to auto convert every paycheck before any growth happens
- Rollover from Roth IPC 401k to Roth IRA is manual but not time-sensitive (no taxes are due)

Mega Backdoor Option B

- Call Fidelity to do conversion everytime
- Principal will go to Roth IRA
- Time-sensitive. Any growth will require you to pay taxes or can be transferred to a Traditional IRA to defer taxes.
- Consult with Fidelity when you call

Account type

Taxable Accounts

Tax Deferred Account

Tax Advantaged Account

Q: How can I max out my 401k contributions? Is it possible to over-contribute to the 401k?

Amazon payroll will automatically stop your 401k contributions at the applicable IRS limit for pre-tax+Roth

2022: \$27,500 (if 50+ for 2022)

CONTRIBUTIONS (\$25.5K AS OF 2025).

See <https://atoz.amazon.work/amazonbenefits/retirement> for YTD contributions and current year 401k contribution limits.

This should work reliably as long as you did not have contributions through another employer in the same year - Amazon payroll has no way to know about those contributions.

Unless you had multiple employers in the same year, it is unlikely you over-contributed to your 401k. It is more likely that you are either:

- Looking at total contributions, including after-tax and employer match, which have a higher limit
- Looking at contributions as displayed on Fidelity website, which has a [known issue with displaying December contributions as part of next year](#).

After-tax contributions limits

For **after-tax** contributions, Amazon Payroll (not Fidelity) caps annual totals below the IRS limit.

- The estimated FY2025 limit: \$39,500

The limit is likely intended to prevent contributing more than the [IRS limit](#) for **overall** 401k contributions and seems to be calculated based on `total_limit - max_elective_deferrals - max_match`, shown in the table below. This limit also means that it not possible to reach the overall 401k contribution limit through after-tax contributions alone.

Year	IRS overall 401k contribution limit	IRS 401k Employee Elective Deferral Limit	Max Salary allowed by IRS	max match (.02 * max salary)	Calculated Amazon after-tax contribution limit
FY2022	61000	20500	305000	6100	34400
FY2023	66000	22500	330000	6600	36900
FY2024	69000	23000	345000	6900	39100
FY2025	70000	23500	350000	7000	39500
FY2026	72000	24500	360000	7200	40300

In 2023, the `total_limit=$66k` , `max_elective_deferrals=$22.5k` , and max match based on 2% of [max salary](#) that IRS allows to consider for 401k contributions is `$6.1k` .

In 2024, the `total_limit=$69k` , `max_elective_deferrals=$23k` , and max match based on 2% of [max salary](#) that IRS allows to consider for 401k contributions (i.e., `$345k`) is `$6.9k` , leaving the after-tax limit as `$39.1k` .

In 2025, the `total_limit=$70k` , `max_elective_deferrals=$23.5k` , and max match based on 2% of [max salary](#) that IRS allows to consider for 401k contributions (i.e., `$350k`) is `$7k` , leaving the after-tax limit as `$39.5k` .

In 2026, the `total_limit=$72k` , `max_elective_deferrals=$24.5k` , and max match based on 2% of [max salary](#) that IRS allows to consider for 401k contributions (i.e., `$360k`) is `$7.2k` , leaving the after-tax limit as `$40.3k` .

Previous yearly limits have been confirmed:

- FY2022: \$34,400 [Slack Link](#)
- FY2023: \$36,900 [SIM Link](#)
- FY2024: \$39,100 [Tracked in atoz](#)
- FY2025: \$39,500 [Tracked in atoz](#)

Q: Is it possible to tell Amazon how much I've already contributed at another employer to prevent over contributing?

No.

You will need to calculate contributions to prevent yourself from over contributing.

If you believe you have over contributed, notify payroll immediately, as correcting this after the tax deadline is a lot more painful.

<https://atoz.amazon.work/myhr>

Q: What are the HCE rules and HCE 401k refund ("clawback")?

There is a separate clawback ("excess contribution") FAQ here:

[https://inside.amazon.com/en/Employment/USBenefits/401k/401kSavingsPlanFAQ/Pages/401\(k\)-Non-Discrimination-Testing-FAQs.aspx](https://inside.amazon.com/en/Employment/USBenefits/401k/401kSavingsPlanFAQ/Pages/401(k)-Non-Discrimination-Testing-FAQs.aspx) that probably addresses your question.

If Amazon has failed the non-discrimination test, then employees can expect to get a notice from the Amazon Benefits team generally in early March, however this varies from year-to-year. The amount refunded will depend on your situation (see below), but are some data points for you to consider by year:

Contribution year	Refund year (usually around March)	Refund amount (for those who made maximum contribution)
2012	2013	~\$1900
2013	2014	~\$1300
2014	2015	~\$2100
2015	2016	~\$2900
2016	2017	~\$3300
2017	2018	~\$3200
2018	2019	~\$2900
2019	2020	\$0 (no clawback)
2020	2021	\$0 (no clawback)
2021	2022	\$0? (no clawback) (to be verified)
2022	2023	\$0? (no clawback) (to be verified)

It is generally expected that there will be no clawbacks from fiscal year 2019 and onwards, due to Amazon's

implementation or automatic 401(k) enrollment for new employees.

Q: Can I avoid the clawback by contributing to the Roth 401(k) instead of the Traditional 401(k)?

No. From [the IRS](#):

"The ADP test counts elective deferrals (both pre-tax and Roth deferrals, but not catch-up contributions) of the HCEs and NHCEs. Dividing a participant's elective deferrals by the participant's compensation gives you that participant's Actual Deferral Ratio (ADR). The average ADR for all eligible NHCEs (even those who chose not to defer) is the ADP for the NHCE group. Do the same for the HCEs to determine their ADP."

Q: Can we have Mega Backdoor Roths?

As part of Amazon's January 2020 change from Vanguard to Fidelity as the 401(k) broker, this is now possible. This is because Amazon's 401k plan now supports both after-tax contributions (up to 90% as of 1/1/22) & in-plan rollovers. Don't forget to set up an automatic in-plan Roth conversion, otherwise your after tax contributions will go to your taxable 401(k). Do not procrastinate setting this up. After-tax contributions must be made from payroll and cannot be made retroactively later in the year.

Here's the steps to enroll via the Fidelity website:

- Go to www.netbenefits.com/amazon401k and log into your Fidelity account
- Select **Amazon 401k(k) plan**
- Under **Contributions** > **Contribution amount** select a desired fraction of your paycheck (base salary only) under **AFTER-TAX**. Select **Convert after-tax to Roth** as well.
[Show screenshot](#)
- Note that **Convert after-tax to Roth** setting is optional if you intend to rollover to an IRA very quickly, but even then there's no reason not to enable it. If you do not enable this option then any gains between contribution and rollover will be taxable. Enabling this does not prevent or delay you from rolling over that money to IRA.
- After this a fraction of your future paychecks will be put into **AFTER-TAX 401k**, and almost immediately converted to **ROTH money**. The resulting balance will be shown as **ROTH IN-PLAN CONVERSION** source bucket and is different from the ROTH 401k.
[Show screenshot](#)
- (OPTIONAL) If your investment plan involves investment choices that are not available in Amazon 401k+BrokerageLink (for example, ETFs, individual stocks, options, etc) then you can manually rollover **AFTER-TAX** or **ROTH IN-PLAN CONVERSION** balances to a Roth IRA, even if you are still employed at Amazon. This part cannot be automated and needs to be done manually every time.
 - For rolling over to a Fidelity Roth IRA, see **Rollovers** tab. There will be two options: **AFTER-TAX WITHDRAWAL** or **ROLLOVER WITHDRAWAL**.
 - If you have rolled funds into the Amazon plan, you will need to select **AFTER-TAX WITHDRAWAL**. If do not have any funds rolled into the plan, either option will work.
 - [Show screenshot](#)
 - A **ROLLOVER WITHDRAWAL** request will prompt you to choose a destination for any rolled-in

funds, which is usually undesired.

- [Show screenshot](#)

- If your **AFTER-TAX** or **ROTH IN-PLAN CONVERSION** balances are invested in 401k BrokerageLink, then you would need to move the money out of BrokerageLink first, or call Fidelity to perform the rollover.
- For rolling over to a different IRA, call Fidelity. Or rollover to a Fidelity IRA first, and then from there rollover to a different IRA.

Other Megabackdoor FAQs:

- **Should I leave the the funds in the Roth 401k IPC (In plan conversion) or move to my own Roth IRA**

- You can move it to your own Roth IRA if you'd like (via Fidelity online rollovers option). There is no tax impact of doing so. The primary benefit would be if you want more investment options than the 401k provides (unless we get [the restrictions removed from our 401k](#)). You'd also want to move it to Roth IRA before you take any withdrawals

- **Is there a tax impact of moving Roth IPC to Roth IRA?**

- If you'll ever have to make a **non-qualified (early) withdrawal** from a Roth IRA, you'll have to know the "basis" of your original cash (e.g., After-Tax Contributions into Roth) versus the Earnings. It's the responsibility of the taxpayer (not their broker) to keep this information handy for Roth accounts; it may be shown incorrectly by Fidelity as "Roth Pre-Tax" and "Roth After-Tax" during the conversion because of the default FIFO rule for investments being applied across the accounts; and does not seem to be shown anywhere past a liquidation of the investments; you may have to ignore this, and instead take note of the actual amount that has been contributed and paid taxes on, regardless whether there's been losses or gains in Roth IPC prior to the rollover. It is not entirely clear whether anyone maintains this information within 401k, either, so, it's not clear if anything is lost with a rollover to IRA; it appears that Fidelity may only save records for up to 10 years.

- **Can I select different investments for Roth IPC?**

- As of August 2021 it was discovered that this functionality is now available. You can change "Your Investment Elections" for each bucket by Source.
 - Source: PRETAX, Includes: PRE-TAX, ROLLOVER, QNEC
 - Source: ROTH, Includes: ROTH, ROTH ROLLOVER, ROTH IN-PLAN CONVERSION, ROTH IPC EE
 - Source: MATCH, Includes: COMPANY MATCH, ZAPPOS COMPANY MATCH, ROTH IPC ER, QMAC
 - Source: AFTER-TAX, Includes: AFTER-TAX, AFTER-TAX ROLLOVER
- As such you should be able to assign you AFTER-TAX contribution to a desired investment separately.

Refer to <https://issues.amazon.com/issues/V334507601> for more details.

- **When does the IPC take place?**

- Once setup, Roth In-Plan Conversion happens the exact same day as the After-Tax contribution; it should be shown in account history as a "CONTRIBUTION" into the "08 - AFTER-TAX" source; followed by a net "\$0.00" transaction of type "Transfers" from "08 - AFTER-TAX" to "09 - ROTH IN-PLAN CONVERSION". You should also see a transaction of type "Transfers" from "09 - ROTH IN-PLAN CONVERSION" to "10 - ROTH IRA" if you have elected to roll over the funds to your own Roth IRA.

PLAN CONVERSION". You would see two transaction entries for each "Investment Election" — one of type "CONTRIBUTION" in the amount of your contribution per Investment Election, and another of type "Transfers" with a net zero amount; because each mutual fund has only a single price for the whole day and both transactions are batched together on the exact same day with a single NAV for the fund, there should not be any possibility for any market gains or losses prior to conversion (provided everything has been setup correctly). Typically, with monthly pay, the events happen with NAV of the first Tuesday of a month after the payday, but you'll only see it in the early morning on Wednesday back-dated to the preceeding Tuesday.

Where do I find my 1099-R come tax time?

The relevant tax documents may be found on Fidelity's NetBenefits portal (not on Fidelity's standard account/portfolio management page).

Q: How to contribute to Brokeragelink accounts?

After opening your Brokeragelink account, you can move funds and/or contribute each paycheck.

Fidelity requires a \$500 minimum deposit before you can set up automatic payroll contributions. You can move funds from your 401k account to your Brokeragelink 401k account to meet this requirement. This will be a sell event + transfer of the proceeds. There shouldn't be any tax consequences since this is not a withdrawal. Don't forget to buy something with the cash if you want once it is in the Brokeragelink account.

- Go to <https://retiretxn.fidelity.com/nbretail/savings/navigation/dc/investments>
- Exchange ONE Investment
- Choose investment to sell
- Select Brokeragelink to buy

Steps to set up automatic contributions:

- Go to <https://retiretxn.fidelity.com/nbretail/savings/navigation/dc/investments>
- Future Investments -> Change Investment Elections
- Choose your own investments -> Select Funds
- Change selections for each desired source to "Other Investments BROKERAGELINK"

Note that your contributions in Brokeragelink accounts are NOT automatically invested. Fidelity currently supports automated investing for their own Fidelity Mutual funds.

- Go to <https://retiretxn.fidelity.com/nbretail/definedcontributions/navigation/dc2/inqBrokerageLink>
- Invest Your Future Contributions -> Go to BrokerageLink Automatic Investments

Q: When do 401k contributions arrive in the 401k account?

Contributions arrive on a Tuesday after the paycheck date.

- For example if paycheck date is Wednesday, March 31st, then contribution will arrive Tuesday, April 6th.
- The trade actually happens at the market closing time, and is visible in the account only a few hours later (so don't bother checking it until late evening)
- Add 1 more day if you are using BrokerageLink.
- Add 1 more day if there's a holiday in between.

Q: Why was my December contribution counted against the next calendar year?

401k contributions count for the year of the paycheck.

If you contributed on your December paycheck, it will be correctly counted against that year on your W-2, even if Fidelity website shows contribution in January of the following year. This is a known display issue on the Fidelity website. You can find an accurate record of year-to-date contributions on the payroll website (<http://mypay.amazon.com/>)

Q: How does Amazon's 401k benefit compare to our competitors?

In 2015, Bloomberg ranked the top 50 companies of the S&P500 and Amazon came up [50th](#). Since then, some changes have been implemented:

- company match is no longer required to be in Amazon stock
- mega-backdoor roth is possible
- investment choices have been broadly expanded with Fidelity BrokerageLink mutual funds, and as of June 2022 also stocks and ETFs
- after-tax contribution limit (mega-backdoor roth) has been [increased](#) from 10% to 90% of the paycheck
- maximum base pay cap increased from 160k/185k to 350k (this translates to the maximum possible match being increased from 3.2k/3.7k to 7k)

but nothing like Microsoft's (#43 in 2015) changes (50% uncapped company match up to IRS limits).

Common reasons for criticism of Amazon's 401k plan are:

- Cannot use any bonus pay for 401k at all (other than indirectly to cover the taxes). Other companies make it possible to join as late as December yet max out even Mega Backdoor Roth through the use of the Signing Bonus, by setting up the bonus pay option to 100%. (See [benefit proposal](#))
- Relatively small employer match (see [benefit proposal](#))
- No immediate vesting of employer match (see [benefit proposal](#)). Currently, it is after you cross 1000 hours on your 3rd consecutive year here per 401k policy.
 - Once you cross that 1000 hours on your 3rd consecutive year, everything vests, and future matches vest immediately.
- Inability to specify exact amount to contribute, only whole %. (see [benefit proposal](#))
- inability to notify payroll about 401k contributions at previous employer in the same year, which leads to over-contributions

Q: What should I do with a 401(k) from a previous employer or when leaving Amazon?

See official info here - <https://inside.hr.amazon.dev/us/en/employment/time-off-compensation-benefits/benefits/401k.html>

Generally when you leave a company, you have the following options regarding your 401k:

- **Cash out** (transfer money to a bank account or a regular brokerage account) - generally a bad idea as you will pay penalties, and also taxes on your pre-tax balance.
- **Keep it where it is** - (requires a minimum account balance of \$5000) - a good option if you don't have a new 401k yet or if the new 401k has investment choices you're not happy with. Requires you to pay regular account maintenance fees.
- **Rollover to an IRA** - Rollover pre-tax 401k to pre-tax/traditional/rollover IRA, and Roth 401k to Roth IRA. Although it is possible to roll over 401k to a Roth IRA, it is not recommended because of the

IRA. Alternatively, rollover pre-tax 401k to a Roth IRA but this would require paying income taxes on entire balance.

- Having a balance in any Traditional/Rollover IRA will prevent you from doing Backdoor Roth IRA (without paying extra taxes due to pro-rata rule). If this matters to you consider other options for pre-tax balance.
- 401k offers superior protection from creditors/lawsuits compared to IRA where protections can vary by state and are often more limited.
- On the positive side, IRAs will offer more investment choices than most 401k accounts
- **Rollover to a new 401k** - a good choice if you are happy with investment choices offered in the new 401k and would like to keep ERISA protection and ability to do backdoor Roth IRA contributions

Q: Can I convert my traditional 401k into a Roth 401k?

Per some discussions on #topic-personal-finance slack channel it is now possible. Contact Fidelity support.

Q: How does the Amazon matching schedule affect my planning?

First off, read through the [official Amazon "match" sections](#). This is your authoritative source of information.

A few notes on interpreting these sections.

- Base salary and cash bonuses, if any, are counted towards the 2%/4% threshold. RSU awards are not.
- Amazon match is based only on your pre-tax and Roth contributions, not after-tax
- If you leave the company before December 31st, you will forfeit the true-up that would come by March of the following year. If you leave after Dec 31st you should probably keep your 401(k) with Amazon until you get it.
- If applicable, the HCE clawback will occur in roughly the same timeframe, but independently of the true-up contribution.

Many employees want to contribute more than 4% to their 401k -- up to the IRS contribution limit for that year. There are 3 common approaches, depending on how much you care about frontloading and about the possibility of losing your true-up.

You can use the [spreadsheet](#)  for comparing the strategies. Use it online (public but anonymous) or download a copy to fill in your salary, expected returns and other factors. Beware of limitations and potential errors.

Even contributions, no true-up

Nothing special: estimate how much you want to contribute and divide by *[yearly comp]* to get a percentage for the whole year. For example, an employee earning \$120k/yr and wanting to add \$18k in 2017 would set a contribution percentage of 15%.

As long as the percentage exceeds 4%, you'll get the maximum possible Amazon match every month with no need to wait for a true-up.

Maximize frontloading, wait for true-up

This is the simplest approach to apply. Just set a contribution percentage of 90% (or some other high number) and forget about it. Payroll will automatically cut off when you hit the IRS limit and reduce your contributions to \$0 for the rest of the year.

Your Amazon match will be capped for the first couple of months, and zero out for the rest of the year. Accordingly, you'll receive a relatively large true-up check the following March. Corresponding to 2% of your salary during the months when you didn't contribute.

e.g. the an employee making \$120k/yr would hit the 2017 limit after 2 months at 90%. They'll see an Amazon match of \$200 for each of those 2 months, and a true-up contribution of \$2000 added the following March.

Maximize frontloading, avoid true-up

Work backwards from your target contribution and calculate just enough in Jan/Feb to leave 4%/month for the rest of the year. This requires adjusting your contribution percent multiple times throughout the year.

True-up dates in prior years

- 2020 plan year: Thursday, 2021-02-18 (monthly pay in Texas)
- 2021 plan year: Thursday, 2022-02-17 (monthly pay in Texas)
- 2022 plan year: Friday, 2023-02-17 (monthly pay in Texas)
- 2023 plan year: Friday, 2024-02-23 (monthly pay in Texas)
- 2024 plan year: Monday, 2025-02-24 (monthly pay in Texas)
- 2025 plan year: TBD, 2026

Downsides of front-loading

Before committing to front-loading your 401k, evaluate if these downsides apply to you:

- If you switch to a different employer with a better match than Amazon but already front-loaded your pre-tax or Roth contributions, you will not be able to get the better match at the new company (unless you over-contribute at the new employer and request a taxable refund of your contributions at Amazon)
- You'll have to wait until the following year for a true-up, missing the earnings on the match money. (Or potentially not getting the match at all if you switch jobs)
- Locking more money in a 401k with limited investment choices prevents you from investing in potentially higher return (but usually also higher risk) investments outside of the 401k.

These downsides do not apply to after-tax 401k (as part of "mega backdoor roth") since there's no match on those, the contribution limits are per-employer, and it can be rolled over to a Roth IRA at any point. Amazon caps your after-tax contributions, so there is no concern of leaving enough room for the Amazon match if you front-load the after-tax 401k to the limit (see [After-tax contributions limits](#)).

Pay frequency and percentages

Salaried employees in California are paid bi-weekly; whereas Washington and Texas — monthly; the pay frequency varies by state. For a list of all states, see https://inside.amazon.com/en/libraries/docs/public/Amazon_Pay_Frequencies_by_state.xlsx via [Getting Paid - US: Paychecks: Pay schedule](#).

For the percentage settings of 401k, only the base salary is counted; the signup bonus doesn't count. If your pay frequency is monthly and the base salary is 160k, and you leave the default setting of 2% for Pre-Tax (from the auto-enrollment that happens a few months from the starting date), you'll get exactly

$0.02 \times 160000 / 12 = 266.67$ withheld and deposited every month as follows:

Month	Pre-Tax	Match
1	266.67	0
2	266.67	0
3	266.67	0
4	266.67	0
5	266.67	0
6	266.67	0
7	266.67	0
8	266.67	0
9	266.67	0
10	266.67	0
11	266.67	0
12	266.67	0
13	0	2000

0.02% 160000/12 = 266.67 withheld and deposited every month, as well as a Company Match of 155.54.

With Fidelity as of Feb 2021, the 401k deposits appear to happen several days after the pay hits the bank account, dated the first Tuesday of the subsequent month than the month they are for, but not visible until early Wednesday.

Q: Can I set my Amazon employer match to Roth 401k?

No.

The SECURE 2.0 Act allows for employers to provide employees the option of receiving vested matching contributions to Roth accounts.

However, as of 2025, Amazon does not currently offer the option to make employer contributions Roth.

Q: Can I withdraw my after-tax contributions early?

Yes! After-tax contributions can always be withdrawn tax and penalty free. That said, for the Roth 401k IPC, contributions are withdrawn in a prorated fashion between all earnings and contributions in the Roth portion of the 401k account. So instead of prorating between these groups if you need to withdraw, you should first roll over your funds to a Roth IRA, which allows you to withdraw contributions first and earnings second.

What are the rules around withdrawing from a Roth account

https://www.reddit.com/r/personalfinance/comments/bplzai/can_you_withdrawal_your_contribution_from_a/envimno/

Q: How can I view Amazon's 5500 Form including 401k statistics?

Search for EIN: 911986545 on this site: <https://www.efast.dol.gov/portal/app/disseminatePublic?execution=e1s2#>. You can view 401k audit statistics, participation rates, aggregate sizes, participation size by fund, etc.

Q: Can I make a large year-end 401k contribution to max out my pre-tax contribution?

You can only contribute from your base salary (up to 90% of each paycheck). There's no option to send a one-off contribution from your bank account into your 401(k), unfortunately.

As an alternative, consider contributing to an individual retirement account (IRA), which you can do for the current year until April of the following year. Amazon won't help you with this (no match), and it may or may not reduce your taxable income, but you still get some benefits associated with tax-deferred income and gains in the IRA.

5 HSA Questions

Q: What makes HSA so special that everyone talks about it?

Read this: <https://www.madfientist.com/ultimate-retirement-account/>

You can also compare available Amazon health insurance plans using this spreadsheet to see if HSA is the best

choice given your circumstances -

https://docs.google.com/spreadsheets/d/1gK2e3XrP6g2aDWkyo2l0YwZEUa-_MgEQ6dle8O9ra6k/edit

Beware that some states (CA and NJ, according to google) do not recognize HSA as a tax advantaged account - contributions are not state-tax-deductible, and transactions are subject to capital gains taxes.

Q: Is HSA the best plan for myself or my family given existing health needs?

Use this [helpful Excel file \(Last updated 2021\)](#) to see if the HSA plan is best for you or your family. You will need to estimate how much money you expect to spend on health related costs in a plan year. For the In-Network and Kaiser plans, you will need to estimate how many doctor or hospital visits you will need in the plan year.

A brief summary of the various Amazon health plans can be found [here](#).

Q: How does Amazon HSA work?

Starting with April 2021, by popular request Amazon HSA is now administered by Fidelity. See the official FAQ on this change [here](#).

At the time of this writing there's not much more details known besides what's mentioned in the above FAQ. The new setup looks like:

- [Amazon Benefits website](#) is where you enter your desired HSA paycheck contribution amounts.
 - After you are logged in to benefits website, navigate to <https://amazon.ehr.com/ESS/Enroll/Flow/ChangeHSA>
 - Click on "Edit" right next to "HSA - Employee Plan Year Contribution"
 - The math is very weird in this tool (see <https://sim.amazon.com/issues/P40398871>), so you should independently decide what you want to contribute per paycheck and fudge the inputs to this tool to show you the desired per-paycheck amount.
- [ADP](#) is the payroll processor that handles your paychecks. Your paycheck will show your HSA deduction, as well as employer contribution.
- Fidelity is an actual bank/brokerage account where you can:
 - view your balances, including investments
 - make additional (non-paycheck) contributions (but beware that [you don't get as much of a tax deduction](#))
 - keep track of previous medical expenses using Track and Pay feature.
 - withdraw money for medical expenses (or order a debit card to pay your medical provider directly with HSA money)
 - purchase/sell investments (stocks, ETFs, mutual funds, etc)

Q: How do I invest in my HSA account?

Fidelity HSA is a full-featured brokerage account. By default your contributions will land in a cash position and you can then use it to purchase some investments. You might be able to set up automatic investment of future contributions as well (to be confirmed once Amazon-linked Fidelity HSA accounts are actually set up)

Q: What should I invest in my HSA account?

Fidelity has a broad variety of mutual funds available commission-free, as well as ETFs and stocks. This included

various funds that can be used to build a [Fidelity's 5 fund portfolio](#).

If you are not sure what to do, check out non-HSA specific section on [What should I invest in](#) and adjust based on your expected investment time horizon and risk tolerance for HSA money.

Q: What HSA fees are there?

From fidelity HSA website:

Fidelity does not charge account fees to HSA account holders but commissions and other expenses associated with transacting or holding specific investments (e.g., mutual funds) may apply. Refer to the fees and commission schedule for additional detail at <https://www.fidelity.com/trading/commissions-margin-rates>. Fidelity does charge a recordkeeping fee to employers who offer a Fidelity HSA to their employees. This is a common fee charged by HSA providers. Employers may choose to pass that fee on to their employees. At Fidelity, that fee may be up to \$48/year, but it could be reduced or waived depending on the HSA balance.

This "recordkeeping" fee does not appear to be passed to us, so Fidelity HSA is as free as it gets. Standalone Fidelity HSA account does not have such a fee, so one may speculate that upon departing Amazon you will still not be required to pay any fees.

Q: What should I know about contribution limits? How can I make a maximum annual contribution?

There is an [IRS contribution limit](#) that applies per calendar year (or tax year, to be precise). This limit is based on what fraction of the calendar year you were covered by a High Deductible Health Plan and whether you have an individual or family coverage.

Amazon benefits year does not matter. But benefits website's "maximize contributions" feature only uses benefit year in its calculations. This can result in under or over contribution. This will be corrected when Amazon aligns benefit year with calendar year (first fully-aligned year will be 2023).

Supposedly Amazon/Fidelity will stop payroll contributions if you go over the limit, but there were reports of that mechanism not working. It is also unclear whether this mechanism will take into account non-payroll direct contributions if you made any, whether it's aware of pro-rated limit for part-year coverage, whether it considers contributions from previous benefit year but current calendar year, and whether you'll miss out on Amazon's contributions due to this.

To make sure you make a full contribution, do not over-contribute, and don't miss out on the Amazon's contributions:

- Determine the IRS limit which applies to you for the current calendar year. (depends whether it's individual or family coverage, whether you had only part-year HDHP coverage and if you claim [last-month rule](#))
- Subtract all employer contributions you have or will receive for that year. (\$500 or \$1000 or \$1500 depending on dependents you have on your health plan)
- Subtract all contributions you have already made from previous paychecks for the year. (Your pay state-

ment would usually have the correct YTD number, but it can be reset if you transfer between orgs)

- Subtract the contribution amount for the current pay cycle (probably the same amount as you had withheld from previous paycheck, unless you changed it since then). Unlike with 401k, your changes do not affect your current pay cycle contribution.
- Divide the result by number of remaining paycheck you expect in the **calendar** year. This is your desired employee contribution amount per-pay-period.
- Make sure that Amazon Benefits website does NOT show a monthly contribution larger than this! If it does, lower your "annual contribution" amount on the Benefits website.

If you entered maximum allowable annual contribution on Benefits website but still did not reach the desired monthly contribution amount - you will not be able to contribute to the maximum through payroll. If desired, you can make a direct (non-payroll) contribution in Fidelity or in any other HSA account you have.

Q: I read that contributions made before tax filing deadline can be applied to previous tax year. Which year do payroll contributions from Jan-Mar count for?

Payroll contributions always apply to the year of the paycheck date. For example:

- July 2019 paycheck contribution applies to 2019 tax year.
- December 2019 paycheck contribution applies to 2019 tax year. Even if actual money arrives in your account in early January.
- January 2020 paycheck contribution applies to 2020 tax year.

Direct (non-payroll) contributions made before tax filing deadline can be applied to either current or previous tax year.

Q: Will pay slightly more taxes if you contribute to the HSA directly vs via your paycheck?

Yes, you pay more because paycheck contributions are shielded from both income tax and Social Security/Medicare, while separate contributions are only deductible for income tax purposes. Therefore the difference between the two is your marginal Social Security + Medicare rate, which for single filers in 2026 is:

Income <= 184,500: **7.65%** (6.2% Social security + 1.45% Medicare)

Income > 184,500 and <= 200k: **1.45%** (Just Medicare)

Income >200k: **2.35%** - (1.45% Medicare + 0.9% ACA Additional Medicare Tax)

To minimize taxes, contributing to your Fidelity HSA via your paycheck ("cafeteria plan") is optimal.

Q: When do HSA contributions arrive in the HSA account?

Based on first 6 months of contributions in Fidelity, HSA contributions tend to arrive in Fidelity account on the first **Thursday or Friday** after your paycheck. A holiday can push it into **Monday** of the following week. One time it was as late as Monday, July 12, 2021.

Q: What should I do with an old HSA I have from a previous employer or from before Amazon moved to Fidelity?

Fidelity is one of the best HSA administrators ^[citation needed], so many people want to consolidate their other HSA accounts into Fidelity HSA.

HSA accounts into Fidelity HSA.

Main thing to beware is that some invested assets will not transfer in-kind, but selling them in some states (like CA and NJ) would be a taxable event as those states do not recognize tax-free status of HSA accounts.

Other downside is account closing fees which are commonly charged when you do a full asset transfer (in some cases it can be avoided by doing a partial transfer). Hopefully this one-time fee would outweigh any recurring fees that you're being charged by the old HSA administrator.

Also, if transferring from Amazon's old CYC+HSABank+TD Ameritrade combo, it's recommended to initiate a transfer from TDA to Fidelity first (which would be pretty quick and usually transfer in-kind), then from HSABank to Fidelity, which would be slow and would result in a sale of your TDA assets if you still have any.

You can initiate a transfer into Fidelity at <https://fidelity.com/toa>

Q: What do I do if I over-contributed to my HSA?

You can contact Fidelity to refund the over-contribution.

There may be some alternatives as well:

You may be able to reassign the over-contribution part to the following year without taking the refund to avoid the fee. Check with your custodian.

You could leave the over-contribution in place and pay the penalty tax (and then roll it forward to next year's contributions). Compare this penalty tax to the above fee.

6 Real Estate Investing Questions

Q: Do I need an LLC if I invest in Real Estate?

Do you need one, no - but you should take a good hard look at why you would not have one. An LLC creates an entity that separates you, the person, from your real estate investments. If used properly, the LLC is viewed as an independent entity from the legal perspective. This shields your personal property (home, bank accounts, etc.) from your real estate investments, which is important if there is a lawsuit. For example, if your tenant falls and sues you for damages, and the court awards an amount above your insurance coverage, then the remaining award comes from the resources of the individual responsible. If you have an LLC, that means all they could collect is the property (real estate, bank accounts) in the name of the LLC. If it is you personally, then it is all of your assets.

Q: I have a due on sale clause on my mortgage, will the loan get called if I quit claim my property into an LLC?

It is a possibility, and it is certainly within a bank's rights to call the loan if the ownership of the property is transferred. However, historically this has rarely happened. In most cases, the bank accepts that you remain personally responsible for the loan and their lien position on the property has not changed, so they do not call the loan. You need to weigh the chances of the loan being called to the personal liability you incur by keeping the property in your name.

Q: I don't want to move my investment property into an LLC, should I still create an LLC?

Yes. Even if the LLC doesn't hold title to your property, it will allow you to interact with tenants and other organizations as a representative of the LLC instead of as the property owner. In essence, the LLC becomes the property manager while you are still the owner. This doesn't provide as much protection as having the property owned by the LLC (as the owner is liable in certain cases as well) but it does provide at least some additional protection.

Q: I really don't want to create an LLC, how can I still protect myself?

If you do not want to create an LLC, your best option for protection is to have an Umbrella Insurance policy that will cover you for against any court awarded liability. At a minimum that would be \$1M, but with how lawsuits are going, you may want \$2M or more to be safer. Note that this is good advice even if you have an LLC, since you don't want to lose the property to pay the judgement.

Q: What about buying versus renting a home?

Dan Sweet (sweetdan@) said it well as part of a larger discussion on home ownership - *"I'd encourage folks wanting to buy houses to go in eyes wide open that you are really just making a highly illiquid, highly levered, highly tax-advantaged, bet on local real estate in whatever market you live in. Make sure that is the kind of gambling you are down for and that you won't be too sad if things go south and you lose your whole down payment and need to go find somewhere else to rent. (as happened to many folks in 2009)."*

7 Investing Order of Operations

Every so often, we have people ask about what order to invest in, and what, since your extra money for investing is finite. Conceptually, there are things that have a greater weighed value (both qualitative and quantitative) that should be considered for investing in first, before other things. Here is a working draft per several investing@ email conversations (this is NOT a recommendation, just an idea) of the order in which there was a general consensus, that things should be invested in. Correctness/usefulness may vary based on whether you have children, are married, have debt, other dependents, a mortgage, a business, etc:

This flowchart from the /r/personalfinance subreddit wiki is also a bit more comprehensive:

<https://i.imgur.com/LSoUQr2.png>

Investment	Tax advantaged	Quantitative ROI	Details
Charity	yes	no	this is an intrinsic investment - won't make you money, but depending on what matters to you this can be higher or lower, i.e. tithing.
Debt >20%	no	no	Always stop the bleeding early and often. No investment beats this cost.
Small emergency fund/Savings	no	no	money you save for an emergency. Preferably at least 1

account			month of expenses or \$1000, whichever is greater.
Matched part of 401(k)/Thrift Savings Plans	yes	yes	invest up to your employer match, i.e. 4% of your salary here at Amazon. (free money which you just shouldn't leave on the table; equivalent of a guaranteed 50% ROI, assuming you work at Amazon for 3 years in order to vest it)
Debt >5-10%	no	no	Paying down debt of X% is a X% guarantee return on investment, and you're unlikely to find any other investments with a better guaranteed return than 5-10%
Larger emergency fund/Savings account	no	no	Typical suggestions are between 3-6 months of expenses or salary (understand the difference and know which one is best for you)
Roth IRA	yes	yes	(unless you choose to use a traditional IRA instead). Up to IRS limit, i.e. currently (2020) \$6,000. Directly into a Roth, or backdoor into a Roth, if applicable based on your income.
HSA*	yes	yes	up to IRS limit, \$3,550 to an if you have single coverage or up to \$7,100 for family coverage, depending on your plan, your household setup, and your HCE status.
Traditional IRA	yes	yes	(if you didn't use the Roth IRA). Up to IRS limit, i.e. currently (2020) \$6,000. Directly into a Roth, or backdoor into a Roth, if applicable based on your income.
Max rest of 401k	yes	yes	Up to current IRS limit, see https://atoz.amazon.work/amazonbenefits/retirement 2025: \$23,500.00
Max MBDR 401k	yes	yes	Up to Amazon max, see https://atoz.amazon.work/amazonbenefits/retirement 2025: 39,500.00
529	yes	yes	tax advantage depends on your state. Usefulness depends on if you will have kids or a PhD in your future.
FSA	yes	no	up to the IRS limit, i.e. currently \$2,750 and if you don't have the HSA above.
max out DCFSA	yes	no	up to the IRS limit, i.e. currently \$5,000 - if you have dependents who need care and both spouses have earned income (or file separately)
Index Funds/Brokerage Account	no	yes	Vanguard is highly popular - cheap, easy and good historical returns. Schwab is also good.
Lending Club/ Prosper/PeerStreet/etc.	no	yes	online middlemen for P2P loans, real estate, etc. that has shown, in some cases, really good ROI. Consider it a variance on brokerage investing, since it is done with post tax money.
Add'l mortgage payments/low	maybe	maybe	reduces your interest when you make additional payments

interest debt			against the principal. (Weaker arguments around lower interest debt vs. IRA/529/other investments, depending on the relative rates)
Start a business	yes	maybe	no better way to make more income, write off expenses, and potentially be FIRE. I'd put it higher, but if you're making good income, no sense in not making capital gains while starting a business.
Free stock trading	no	yes	using RobinHood or any other broker (Fidelity, Webull, Tastytrade, TD Ameritrade), you can invest in individual stocks for free (no trading fee, with contingencies). If you're going to invest in stocks, why not do it for free. Do your own research to know what broker best suits your needs and which kind of trade requires money (i.e. ETFs usually have a cost associated with them, while stocks do not)
Betterment/WealthFront/other roboinvestors	yes	yes	automates #8, and in some cases, #7 and #5 above, for a fee. Since its theoretically more expensive, its lower on this list due to reducing ROI.
Yourself	maybe	maybe	Maybe if you are paying for it with a 529. defined as "courses/classes/certifications that would help you get ahead at work" or less specifically, anything that increases your personal stock for quantitative or qualitative reasons.
Travel	no	maybe	if you're churning (and then subsequently investing the money you would have spent) then yes, this is great way to save money that can be invested above in other avenues. If not, this is not an investment, it's an expense.

*Play with this spreadsheet to see if an HSA or FSA is better for you: <https://amazon.awsapps.com/workdocs-beta/index.html#/document/0475a7364a88fcc9534eb1346cfc8d137929075ed48c741bc22d9de71c61222f>

Here is also a compilation of other published concepts that were also shared:

1. Dave Ramsey's [7 baby steps](#)
2. [r/personalfinance income spending flowchart](#)
3. bouier@ [financial order of operations](#)
4. <https://www.goodfinancialcents.com/how-to-invest-100-dollars/>

8 Day 2 Checklist

A common question when departing Amazon is - what are all the things that I should do?

- Go through the [official checklist on inside.amazon.com](#)
 - Ensure you have EVL access for future purposes via following steps here: <https://inside.hr.amazon.dev/us/en/employment/getting-hr-help/employment-verification/resources.html>
- File for any unreimbursed [mobile phone reimbursement](#) months.
- Use up your [personal and sick days](#). In most states only vacation days are paid out when you leave.

Update your address to your personal. Call [EBC](#) if you need to update this from a home

- update your address in [peopleportal](#). Call [EKL](#) if you need to update it after you leave.
- Make sure to create personal logins to every system that you previously used Amazon SSO for:
 - [ADP](#) (try [this guide](#)). You will receive an e-mail to your work email from SecurityServices_NoReply@adp.com <SecurityServices_NoReply@adp.com> on your last day of employment, which contains activation instructions to enable ADP access outside of Amazon; as soon as you get into that account, setup personal email/phone numbers so you can reset access if needed in the future. You may also want to visit the internal ADP portal and set it to mail you physical copies of future tax statements if you're concerned about digital access.
 - [Fidelity \(401k/HSA\)](#),
 - [Benefits](#)
 - (Note that atoz access is granted after departure via an email sent to your personal email, so you may not be able to sign up for this until after you leave.)
- Make sure you understand [COBRA health insurance coverage](#), especially the timelines and retroactive coverage.
 - Review COBRA rates and when your benefits end here: <https://benefits.amazon.com/?REDIRECTID~LeaveAmazon>
- If you're interested, join [Day 2 Investing group](#) run by former amazonians from investing@ community.
- Consider various [rollover options regarding your 401k](#).
- Use up your FSA account on [eligible expenses](#).
- Time your departure well - is a [stock vest coming up](#)? Can you leave early in a month to keep the rest of the month of health insurance
- Consider increasing your contribution to 401(k) or other tax-advantaged accounts for your final paycheck(s).

9 Sister lists

I live outside of the US, or am a dual citizen, or on a work visa, etc. What should I do?

There are smaller lists catering to specific groups.

- Non-resident Indians: <https://email-list.corp.amazon.com/email-list/expand-list/investing-nri>
- Canadians: <https://email-list.corp.amazon.com/email-list/expand-list/investing-canada>

That being said, foreign concerns are routinely discussed on the main investing@ list.

Can investing@ be archived?

No, the [policy](#) from the Corp Sys Knowledge Management team disallows hobby lists.

10 #topic-personal-finance SLACK Room Etiquette

Referral Links

[As shared by Paco Hope \(paco hope@\) on 8/13/2020](#)

In this room we only share information we do not personally profit from. Affiliate links, referrals, etc. are con-

trary to [Amazon policy](#), we're looking for impartial, ask-a-friend-at-work advice, not sales pitches. Please avoid referrals, affiliate links, and other financial synergy motivations. Just give good advice and support your positions with information.

[Investing Wiki Help](#) 

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